Cloudberry / Orrön Energy: all-share offer at a 25% premium

Investment committee memo – hypothetical case study

November 2026

Recommendation: do not proceed at a premium. The offer pays EUR 379m of enterprise value for a business whose existing assets are worth about EUR 107m on my numbers (DCF plus JVs at book). Synergies close part of the gap; the rest, about EUR 197m, has to come from Orrön's development pipeline and a recovery in power prices.

The deal. Cloudberry offers SEK 11.00 per Orrön share, 25% above the SEK 8.80 close on 4 November 2026, paid entirely in new Cloudberry shares. That is EUR 286m of equity and EUR 379m including Orrön's EUR 90.5m net debt. Cloudberry issues about 284m shares, so Orrön holders end up with 46% of the combined company. The price is 0.88x Orrön's book equity, so there is no goodwill; PP&E is written down by EUR 38m.

Why it would make sense. Orrön adds about 800 GWh of Nordic wind to Cloudberry's 789 GWh, roughly doubling output. Cloudberry's run-of-river hydro peaks with the spring melt and wind peaks in winter, so the combined output is smoother through the year. Orrön's G&A (about EUR 9m a year) is high for its size, and much of it - the separate listing, board and head office - would go. I assume 60% of it plus EUR 1/MWh on O&M, worth about EUR 6.4m a year from 2028.

Why it doesn't work today.

- *Earnings.* Orrön lost EUR 26m in 2025 and EBITDA was negative. At EUR 42–46/MWh it still loses EUR 10–14m a year after interest and D&A. Cloudberry earns about EUR 16–18m. Adding the two and spreading the result over 85% more shares cuts EPS by 89% in 2027 and about 60% in 2028–29.
- *Value.* The existing fleet generates little free cash after capex. The DCF gives EUR 71m of enterprise value at a 7.5% WACC, which does not cover the EUR 278m of PP&E on Orrön's balance sheet.
- *Leverage.* Net debt / EBITDA goes from about 5.3x for Cloudberry alone to 6.5x in 2027, even with no cash in the offer.

What would change the answer.

Driver	Base case	Needed for EPS-neutral 2028E
Achieved power price from 2027	EUR 44–46/MWh	about EUR 71/MWh
Same, with no synergies	–	about EUR 79/MWh
Premium	25%	still -52% dilutive at 0%

The premium is not the main problem: even a nil-premium merger dilutes EPS by about half, because Orrön loses money at today's prices. A deal only works if Cloudberry has a strong view that prices recover or that specific pipeline projects can be sold or built at good returns.

Main risks if pursued. Power prices and capture rates (the biggest driver by far); integration and the timing of G&A cuts; refinancing Orrön's EUR 170m RCF, which matures in July 2027; and the Lundin family's position as Orrön's largest shareholder.

Sources: Orrön year-end report 2025, Cloudberry annual report 2025, stockanalysis.com share data. Forecasts are my own assumptions; see the model's Inputs sheet.